



## BEHIND THE BENCHMARK

- Over a five-year period, only 50% active large-cap funds beat benchmarks
- The number is 30% in case of mid-cap funds

| Fund category | Benchmark            | 1-year return (%) | 3-year CAGR (%) | % active scheme outperforming | 5-year CAGR (%) | % active scheme outperforming |
|---------------|----------------------|-------------------|-----------------|-------------------------------|-----------------|-------------------------------|
| Large-cap     | BSE 100 TRI          | 1.5               | 12              | 62                            | 16.8            | 50                            |
| Flexi-cap*    | BSE 500 TRI          | -0.4              | 12.6            | 57                            | 17.9            | 31                            |
| Small-cap     | BSE 250 SmallCap TRI | -6.9              | 16.6            | 48                            | 24              | 67                            |
| Mid-cap       | BSE 150 MidCap TRI   | 0.6               | 19              | 40                            | 24.3            | 30                            |

**NOTE** \*INCLUDES FOCUSED AND SOLUTION ORIENTED FUNDS WITH A FLEXICAP STRATEGY; DATA AS OF FEB 2025; RETURNS IN CAGR

**SOURCE** VALUE RESEARCH

less of market conditions. This reduces timing risks and leverages compounding benefits, making it a reliable strategy for long-term growth, says Oswal.

Vardarajan, Chief Business Officer of Tata Asset Management says it is not about passive vs active, but passive plus active, as both have their merits. There are times when active funds will do well and times when passives will do well. If you know which one to buy and are a seasoned investor, you should opt for active funds.

“If you don’t have too much idea about stock-picking, and want to benefit from equities at large, passive funds are good enough. Even for seasoned investors, passives can be useful if stock picking in an index is difficult,” says Vardarajan.

Bhatia says anytime can be the right time to invest in passives, but investors should take advantage of the current market fall and put their money in broad market index products, i.e., ETFs or index funds, via the SIP route.

### THINGS TO KNOW

An investor may consider a passive offering if he aims to participate in the growth of a sector or the broader market without taking a call on the fund manager. But what investors must be mindful of is that there is no scope for alpha generation here, unlike actively managed strategies; it’s important to manage your return expectations,

as passive funds aim to replicate an index’s performance rather than outperform it, says Haria.

Gupta says investors should understand the index and the asset class they are betting on as well as the market conditions that favour performance. Key factors to consider include how diversified or concentrated the portfolio is, the cyclical nature of the sector, and risks like tracking difference, or the difference between returns on an investment and its benchmark index over a period.

Dondapati says passive funds generally have lower expense ratios, meaning you keep more of your returns because the fund manager’s role is limited, and the investment strategy is relatively pre-defined, whereas in active funds the expense ratio is much higher due to the extensive research, analysis, and management activities performed by the fund manager.

It’s important to compare expense ratios within similar funds to minimise costs.

Finally, passive investing is best suited for long-term investors, as these strategies typically deliver consistent returns over extended periods, rather than quick gains, says Oswal. For investors with a long-term view, passives could be the way to go. **BT**

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